KT&G (033780 KS)

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Turning growth into shareholder value

BUY (M)

Target price	W280,000 (M)
Previous target price	W280,000
Current price (Nov 05)	W194,200
Upside potential	44%

Market cap (Wbn)	20,160
Shares outstanding	103,810,456
Avg daily T/O (2M, Wbn)	44
Avg daily volume (2M, shrs)	244,467
52-week high/low (won)	196,200 / 135,800
Foreign ownership (%)	50.74%
Dividend yield (%)	4.22%
Major shareholders	Industrial Bank of Korea

Stock performance

(%)	1M	3M	12M
Absolute	9.8	10.3	42.9
Relative	42.8	35.2	6.3
Abs (US$)	10.5	17.1	54.3

3Q26 review: record quarterly results on improved tobacco profitability

KT&G reported record quarterly consolidated sales of W1,905.2bn (+4.3% YoY) and record OP of W530.1bn (+13.9% YoY; OPM 27.8%). The tobacco business drove growth, generating OP of W425.5bn (+14.4% YoY; OPM 32.6%). Key profit drivers included improved pricing and mix (+W23.7bn), higher sales volume (+W12.8bn), and lower costs and expenses (+W9.7bn). Overseas cigarette volume rose 6.2% YoY, sales 10.5%, and OP 21.9%, the tenth consecutive quarter of growth across all three metrics. Domestic next-generation product (NGP) stick market share also expanded to 49.1%. Net profit fell to W104.1bn (-75.1% YoY) due to a decline in valuation-related gains/losses on foreign-currency assets, but this should be viewed separately from the improvement in core operating profitability.

Overseas production investments bear fruit as earnings growth gains momentum

With its global production network across five locations now complete, KT&G is poised for a structural improvement in overseas cigarette profitability. Following the opening of its Kazakhstan plant in 2025, the new Indonesian plant began operations in Oct 2026, further expanding local production capacity. KT&G plans to increase retail outlet coverage in existing markets from around 50% currently to over 70% by 2030, while raising the share of overseas production to over 70%. Distribution expansion should drive volume growth, while better pricing and product mix, together with cost savings from local production, should further support profitability. In particular, we expect fixed cost burden per unit to ease on manufacturing/logistics cost savings and higher utilization. The cumulative cost reduction target for 2027-2030 is over W550bn. We estimate 2027 consolidated sales at W1.72tn (+12.9% YoY).

(continued on the next page)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,905	4.3	12.0	1,925	-1.0
OP	530	13.9	27.9	508	4.4
Pre-tax net profit	174	-68.0	-64.4	488	-64.3
Net profit, CI	106	-74.7	-70.9	370	-71.3
OPM (%)	27.8	+2.3 %pt	+3.4 %pt	26.4	+1.4 %pt
NPM (%)	5.6	-17.3 %pt	-15.8 %pt	19.2	-13.6 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	5,909	6,580	7,001	7,294
OP	1,189	1,344	1,526	1,724
Net profit, CI	1,166	1,090	1,036	1,692
P/E (x)	10.9	13.9	20.2	11.9
P/B (x)	1.1	1.4	2.1	1.9
EV/EBITDA (x)	8.7	9.6	11.5	10.1
ROE (%)	12.7	11.8	10.9	16.8

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Best-in-class shareholder returns; investment appeal grows amid market volatility

We maintain BUY and our target price of W280,000. Amid expanding stock market volatility, KT&G's stable profit generation capabilities and enhanced shareholder return make it an increasingly attractive investment. KT&G achieved an average total shareholder return ratio of over 100% in 2023-2025, and it presented a baseline shareholder return plan of W5tn for 2027-2030 at its recent Capital Markets Day. This represents a 25% increase compared to the previous four-year period, with the baseline returns excluding special returns alone exceeding the past total return of W4.4tn. In particular, its principle of allocating 100% of core cash flow secured after recurring capex toward baseline shareholder returns enhances visibility of dividends and share buybacks. The company plans to raise 2026 DPS to W8,000 (+33.3% YoY), and targets a dividend payout ratio of at least 75% by 2030. Plans for W1.2tn in share buybacks and potential additional special returns seem positive as well. Overseas cigarette profit growth coupled with a lower share count from treasury share cancellations will likely raise value per share. Given stable tobacco demand combined with profit growth and expanding shareholder returns, we believe the company is a compelling investment alternative amid market volatility.

KT&G: 3Q26 review (Wbn)

	3Q26P	3Q25	YoY	2Q26	QoQ	Our estimate	Difference
Sales	1,905.2	1,826.9	4.3%	1,701.6	12.0%	1,926.7	-1.1%
OP	530.1	465.3	13.9%	414.5	27.9%	507.6	4.4%
OPM	27.8%	25.5%	+2.4%p	24.4%	+3.5%p	14.3%	+13.5%p

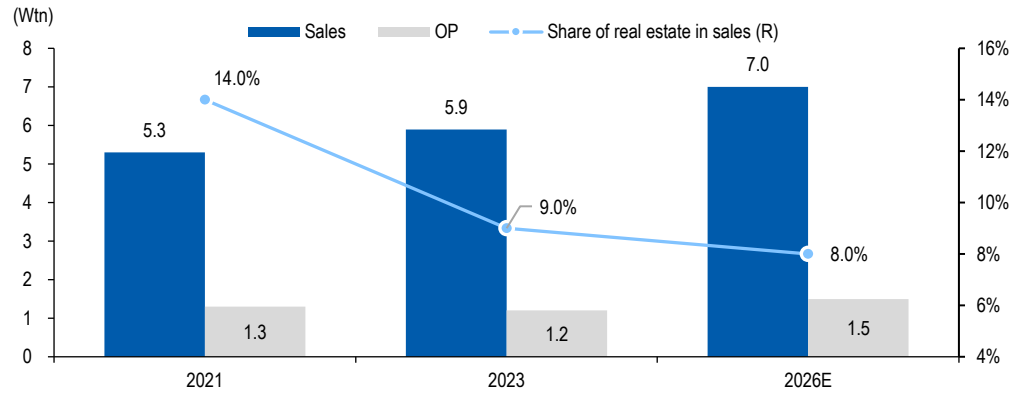
Source: Yuanta Securities

Earnings estimate revision (Wbn)

	Old			New			Change		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	1,551.2	7,037.6	7,275.0	1,690.5	7,000.9	7,294.2	9.0%	-0.5%	0.3%
OP	247.3	1,523.6	1,701.1	217.1	1526.2	1723.8	-12.2%	0.2%	1.3%
OPM	15.9%	21.6%	23.4%	12.8%	21.8%	23.6%	-3.1%p	+0.2%p	+0.2%p

Source: Yuanta Securities

KT&G: consolidated earnings trend and 2026 earnings guidance



Note: figures for 2016 are based on guidance
Source: company data, Yuanta Securities

KT&G: earnings trend and forecast (Wbn)

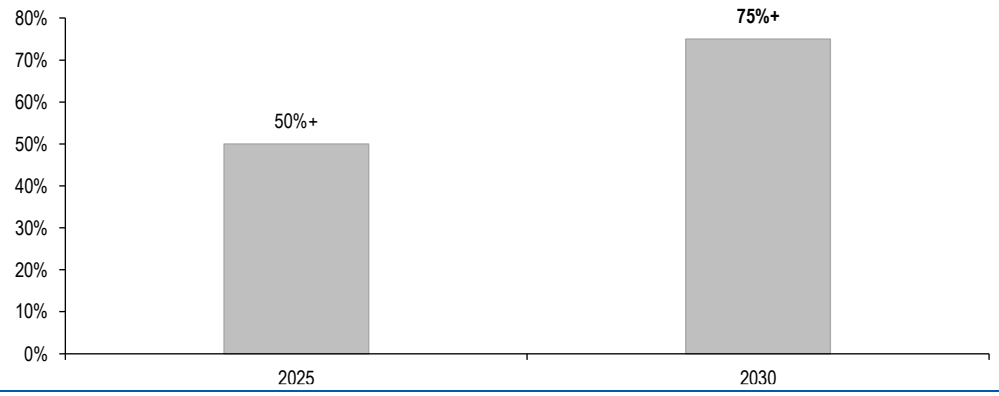
		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales		**1,491.1**	**1,547.9**	**1,826.9**	**1,713.8**	**1,703.6**	**1,701.6**	**1,905.2**	**1,690.5**	**6,579.7**	**7,000.9**	**7,294.2**
Tobacco		**988.0**	**1,090.4**	**1,232.3**	**1,056.4**	**1,156.0**	**1,218.5**	**1,306.4**	**1,211.9**	**4,367.1**	**4,892.7**	**5,252.5**
	NGP	**159.0**	**196.1**	**279.1**	**255.9**	**241.0**	**242.7**	**294.0**	**287.4**	**890.1**	**1,065.1**	**1,110.6**
	Domestic	138.5	140.1	168.3	140.4	140.4	166.6	173.9	148.8	587.3	629.7	656.6
	Overseas	20.5	56.0	110.8	115.5	100.6	76.1	120.1	138.6	302.8	435.4	454.0
	Cigarette	**822.7**	**877.3**	**970.8**	**798.9**	**912.5**	**970.5**	**1,008.7**	**922.3**	**3,469.7**	**3,814.0**	**4,134.7**
	Domestic	373.6	408.3	446.6	363.6	352.9	412.8	429.7	400.0	1,592.1	1,595.4	1,610.5
	Overseas	449.1	469.1	524.2	435.3	559.6	557.7	579.0	522.4	1,877.7	2,218.7	2,524.3
	Semi-finished	6.3	17.0	-17.6	1.6	2.5	5.3	3.7	2.2	7.3	13.6	7.1
Health functional food		**314.4**	**220.6**	**359.8**	**242.2**	**332.6**	**223.8**	**372.2**	**266.4**	**1,137.0**	**1,195.0**	**1,257.6**
Domestic		244.7	161.6	304.7	173.9	265.3	174.2	316.7	191.3	884.9	947.5	996.5
Overseas		69.7	59.0	55.1	68.3	67.3	49.6	55.5	75.1	252.1	247.5	261.1
Real estate		**100.4**	**143.8**	**146.1**	**322.4**	**116.9**	**158.3**	**126.7**	**110.0**	**712.7**	**511.9**	**355.1**
Others		**88.3**	**93.1**	**88.7**	**92.8**	**98.1**	**101.0**	**99.9**	**102.2**	**362.9**	**401.2**	**429.1**
% YoY		***15.4%***	***8.7%***	***11.6%***	***10.1%***	***14.3%***	***9.9%***	***4.3%***	***-1.4%***	***11.4%***	***6.4%***	***4.2%***
Tobacco		***15.3%***	***10.2%***	***17.6%***	***4.5%***	***17.0%***	***11.7%***	***6.0%***	***14.7%***	***11.8%***	***12.0%***	***7.4%***
	NGP	***-9.8%***	***-0.8%***	***44.5%***	***18.1%***	***51.6%***	***23.8%***	***5.3%***	***12.3%***	***13.5%***	***19.7%***	***4.3%***
	Domestic	*6.5%*	*2.0%*	*7.5%*	*4.0%*	1.4%	18.9%	*3.3%*	*6.0%*	*5.1%*	*7.2%*	*4.3%*
	Overseas	*-55.6%*	*-7.3%*	*202.7%*	*41.4%*	390.7%	35.9%	*8.4%*	*20.0%*	*34.6%*	*43.8%*	*4.3%*
	Cigarette	***21.9%***	***11.3%***	***14.1%***	***1.6%***	***10.9%***	***10.6%***	***3.9%***	***15.4%***	***11.9%***	***9.9%***	***8.4%***
	Domestic	*-2.4%*	*-4.8%*	*3.6%*	*-10.6%*	-5.5%	1.1%	*-3.8%*	*10.0%*	*-3.5%*	*0.2%*	*0.9%*
	Overseas	*53.9%*	*30.6%*	*24.9%*	*14.6%*	24.6%	18.9%	*10.5%*	*20.0%*	*29.5%*	*18.2%*	*13.8%*
	Semi-finished	*13.5%*	*307.7%*	*-534.6%*	*-80.7%*	-60.4%	-69.1%	*-120.9%*	*35.0%*	*-66.9%*	*86.0%*	*-47.8%*
Health functional food		***1.9%***	***-16.8%***	***-11.3%***	***-24.9%***	***5.8%***	***1.5%***	***3.4%***	***10.0%***	***-12.7%***	***5.1%***	***5.2%***
Domestic		*0.7%*	*-6.5%*	*-5.0%*	*-7.8%*	8.4%	7.8%	*3.9%*	*10.0%*	*-4.3%*	*7.1%*	*5.2%*
Overseas		*6.6%*	*-36.1%*	*-35.3%*	*-48.9%*	-3.4%	-15.9%	*0.7%*	*10.0%*	*-33.1%*	*-1.8%*	*5.5%*
Real estate		***122.1%***	***78.6%***	***48.3%***	***135.2%***	***16.4%***	***10.1%***	***-13.3%***	***-65.9%***	***97.3%***	***-28.2%***	***-30.6%***
Others		***7.6%***	***5.4%***	***5.3%***	***8.3%***	***11.1%***	***8.5%***	***12.6%***	***10.1%***	***6.6%***	***10.6%***	***7.0%***
OP		**285.6**	**349.9**	**465.3**	**242.9**	**364.5**	**414.5**	**530.1**	**217.1**	**1,343.7**	**1,526.2**	**1,723.8**
Tobacco		252.9	321.9	371.8	204.7	321.6	382.5	425.5	200.6	1,151.3	1,330.2	1,514.3
Health functional food		18.2	6.2	71.5	7.0	27.9	10.0	80.1	6.7	102.9	124.7	133.6
Real estate		10.4	17.7	20.7	32.9	14.0	20.5	24.8	9.5	81.7	68.8	50.8
Others		4.1	4.1	1.4	-1.4	1.0	1.6	-0.3	0.3	8.2	2.6	25.0
% YoY		***20.7%***	***8.7%***	***11.4%***	***14.3%***	***27.7%***	***18.5%***	***13.9%***	***-10.6%***	***13.0%***	***13.6%***	***12.9%***
Tobacco		*22.4%*	*1.7%*	*11.0%*	*-9.5%*	27.2%	18.8%	*14.4%*	*-2.0%*	*6.2%*	*15.5%*	*13.8%*
Health functional food		*-20.9%*	*TTB*	*3.9%*	*-6.7%*	53.3%	61.3%	*12.0%*	*-5.0%*	*4.7%*	*21.1%*	*7.2%*
Real estate		*300.0%*	*510.3%*	*63.0%*	*TTB*	34.6%	15.8%	*19.8%*	*-71.0%*	*TTB*	*-15.7%*	*-26.2%*
Others		*-6.8%*	*10.8%*	*7.7%*	*TTR*	-75.6%	-61.0%	*-121.4%*	*TTB*	*-28.1%*	*-68.0%*	*854.6%*
OPM (%)		**19.2%**	**22.6%**	**25.5%**	**14.2%**	**21.4%**	**24.4%**	**27.8%**	**12.8%**	**20.4%**	**21.8%**	**23.6%**
Tobacco		25.6%	29.5%	30.2%	19.4%	27.8%	31.4%	32.6%	16.6%	26.4%	27.2%	28.8%
Health functional food		5.8%	2.8%	19.9%	2.9%	8.4%	4.5%	21.5%	2.5%	9.1%	10.4%	10.6%
Real estate		10.4%	12.3%	14.2%	10.2%	12.0%	13.0%	19.6%	8.7%	11.5%	13.4%	14.3%
Others		4.6%	4.4%	1.6%	-1.5%	1.0%	1.6%	-0.3%	0.3%	2.3%	0.7%	5.8%

Note: TTB = turn to black, TTR = turn to red, Source: Yuanta Securities

Peer valuation					(Wbn, $bn, GBPbn, JPYbn)
		KT&G	PMI	BAT	JTI
Market cap		**20,160**	328	100,367	15,538
Sales	2025	**6,580**	41	25,610	3,882
	2026E	**7,001**	44	26,147	4,063
	2027E	**7,294**	46	27,086	4,274
	2028E	**7,712**	49	28,075	4,437
OP	2025	**1,344**	15	9,568	1,037
	2026E	**1,526**	18	11,752	1,139
	2027E	**1,724**	19	12,337	1,243
	2028E	**1,841**	21	12,836	1,378
OPM	2025	**20.4%**	36.6%	37.4%	26.7%
	2026E	**21.8%**	40.5%	44.9%	28.0%
	2027E	**23.6%**	41.5%	45.5%	29.1%
	2028E	**23.9%**	42.3%	45.7%	31.0%
Net profit	2025	**1,090**	11	7,764	663
	2026E	**1,036**	13	7,675	742
	2027E	**1,692**	14	8,206	819
	2028E	**1,874**	15	8,754	908
P/E (x)	2025	**15.8**	19.3	11.7	20.3
	2026E	**19.5**	25.4	13.1	20.9
	2027E	**11.9**	23.4	12.2	19.0
	2028E	**10.8**	21.4	11.5	17.1

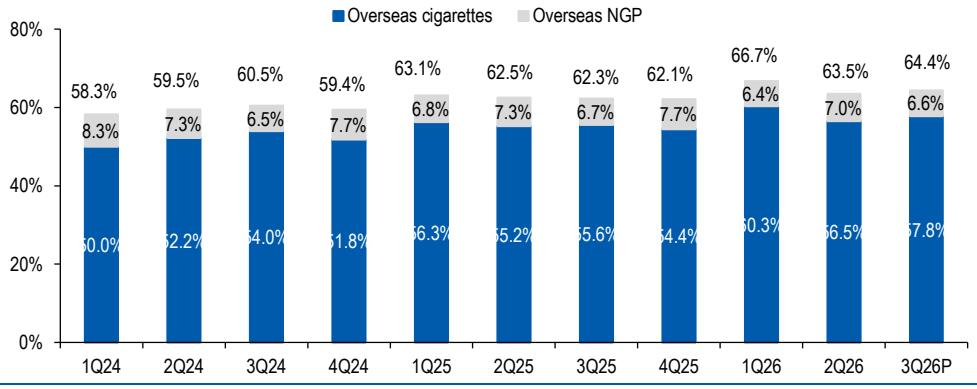
Note: close price as of Nov 5, 2026; Source: Yuanta Securities

KT&G: dividend payout ratio target



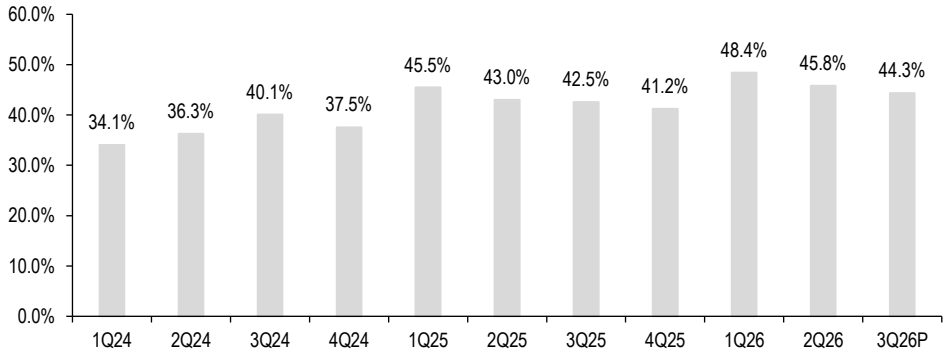
Source: company data, Yuanta Securities

KT&G: global share of tobacco business



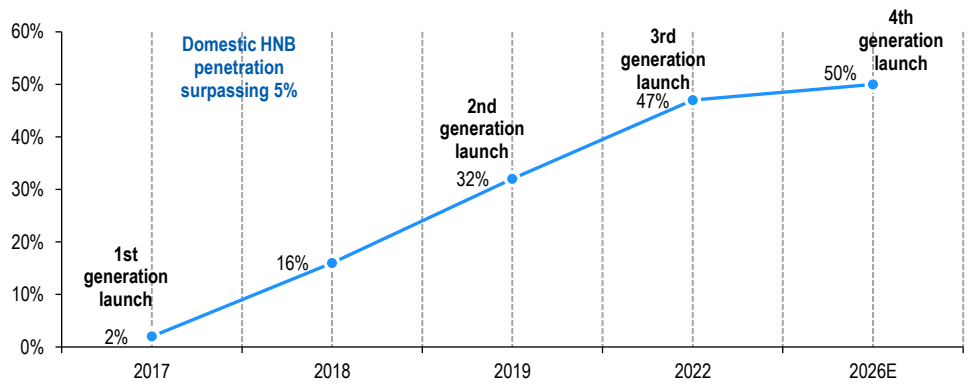
Note: based on overseas cigarette and NGP sales volume; source: company data, Yuanta Securities

Overseas cigarettes as a share of tobacco sales



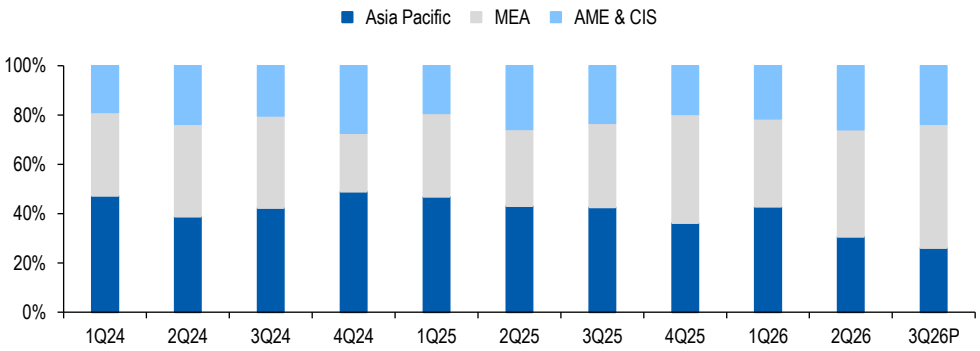
Source: company data, Yuanta Securities

KT&G: domestic HNB CVS market share trend



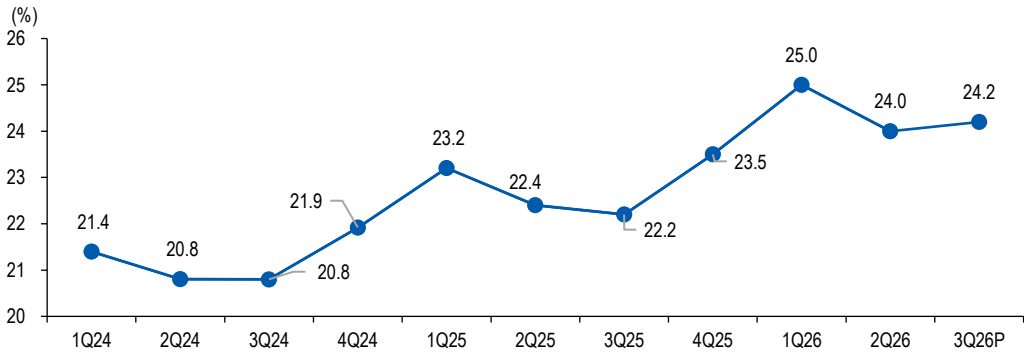
Note: HNB = heat-not-burn cigarettes
Source: company data, Yuanta Securities

Quarterly overseas cigarette volume mix by region



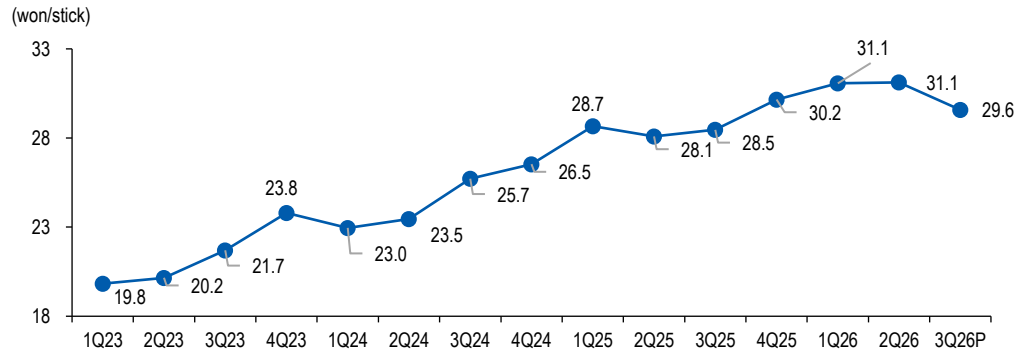
Source: company data, Yuanta Securities

Domestic next-generation product (NGP) penetration rate



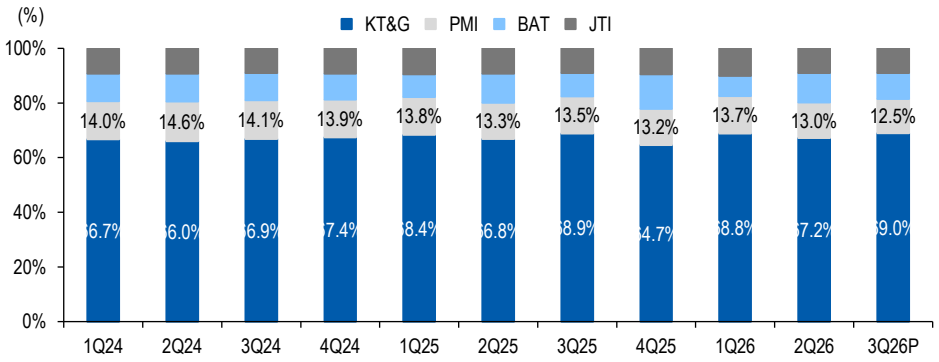
Source: company data, Yuanta Securities

Overseas tobacco ASP



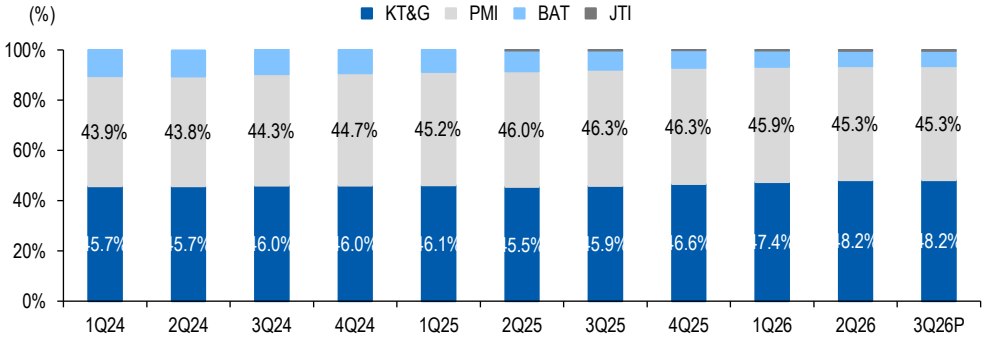
Source: company data, Yuanta Securities

Domestic tobacco market share



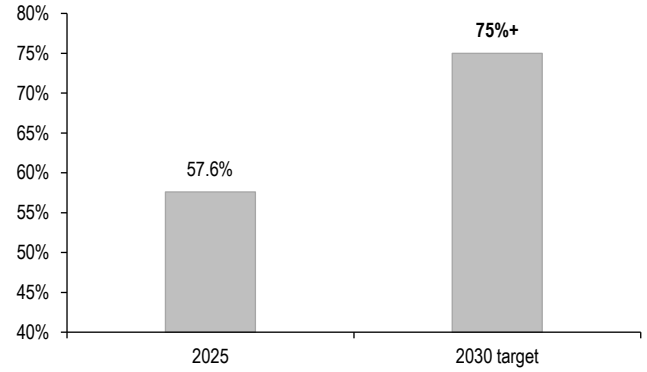
Source: company data, Korea Tobacco Association, Yuanta Securities

Domestic NGP market share



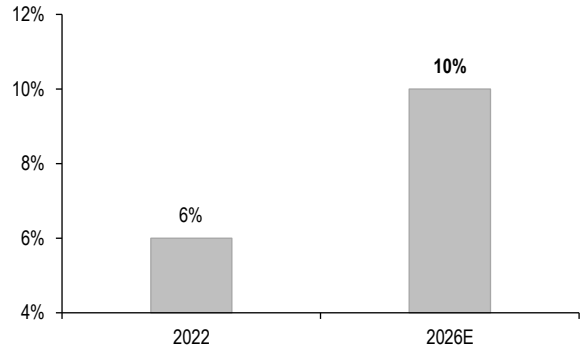
Source: company data, Korea Tobacco Association, Yuanta Securities

Expanding distribution in existing markets



Note: average of 7 major subsidiary markets (Taiwan, Mongol, Russia, Kazakhstan, Uzbekistan, Kyrgyzstan, Tajikistan; excluding Indonesia)
Source: company data, Yuanta Securities

Structural improvement in health functional foods



Note: based on health functional foods sales and OP; 2026E based on guidance
Source: company data, Yuanta Securities

KT&G (033780 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**5,909**	**6,580**	**7,001**	**7,294**	**7,712**
Cost of sales	3,007	3,435	3,608	3,626	3,807
Gross profit	2,902	3,144	3,393	3,668	3,905
SG&A	1,713	1,801	1,867	1,944	2,065
Operating profit	**1,189**	**1,344**	**1,526**	**1,724**	**1,841**
EBITDA	1,439	1,636	1,818	2,028	2,119
Non-operating profit	377	112	-33	413	387
Forex gains	364	-41	-100	110	73
Net interest income	73	36	6	17	52
Equity-method gains	19	39	55	60	65
Other	-79	78	6	226	197
Net prof before income tax	1,566	1,455	1,493	2,137	2,227
Income tax	394	352	403	427	334
Net profit from continuing ops	1,172	1,103	1,090	1,709	1,893
Net profit from discontinued ops	-7	-1	0	0	0
Net profit	1,165	1,102	1,090	1,709	1,893
NP for controlling interest	**1,166**	**1,090**	**1,036**	**1,692**	**1,874**
Total comprehensive income	1,195	1,212	1,123	1,742	1,926
Total comprehensive income, CI	1,197	1,200	1,112	1,725	1,907

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**7,176**	**7,026**	**7,281**	**7,914**	**8,911**
Cash & cash equivalents	1,136	914	826	1,193	1,811
Accounts receivables & other	1,895	2,159	2,250	2,344	2,478
Inventory	3,101	3,285	3,495	3,641	3,850
Non-current assets	6,749	7,163	7,539	7,902	8,090
Tangible assets	2,664	2,823	3,058	3,326	3,367
Investment in affiliates	482	814	866	902	954
Other investment assets	2,370	2,337	2,453	2,534	2,649
Total assets	**13,925**	**14,189**	**14,819**	**15,816**	**17,001**
Current liabilities	3,143	3,237	3,394	3,504	3,659
Accounts payable & other	2,336	2,152	2,289	2,385	2,522
ST financial liabilities	288	333	333	333	333
Liquid LT liabilities	157	424	424	424	424
Non-current liabilities	1,424	1,616	1,651	1,676	1,710
LT financial liabilities	214	106	106	106	106
Debentures	808	924	924	924	924
Total liabilities	**4,567**	**4,853**	**5,045**	**5,179**	**5,370**
Equity, controlling interest	9,239	9,280	9,663	10,509	11,484
Paid-in capital	955	955	955	955	955
Capital surplus	535	538	538	538	538
Retained earnings	8,783	8,552	8,903	9,416	10,060
Equity, non-controlling interest	119	57	111	128	147
Total equity	**9,358**	**9,336**	**9,774**	**10,637**	**11,631**
Net debt	**-352**	**552**	**617**	**237**	**-400**
Total debt	1,562	1,858	1,859	1,859	1,860

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**822**	**583**	**1,023**	**1,545**	**1,665**
Net profit	1,165	1,102	1,090	1,709	1,893
Depreciation & amortization	219	260	265	281	260
Forex gains	-327	47	100	-110	-73
Affiliate investment gains	-19	-39	-55	-60	-65
Increase in net working cap	-365	-804	-566	-479	-564
Other	150	16	188	203	214
Investing cash flow	**-530**	**101**	**-424**	**-6**	**-177**
Investment	11	246	-168	-117	-167
Increase in tangible assets	-768	-640	-500	-250	-300
Decrease in tangible assets	21	264	0	100	0
Other	205	230	244	261	290
Financing cash flow	**-293**	**-948**	**-1,894**	**-2,089**	**-2,141**
ST financial liabilities	259	21	1	0	1
Debenture/LT financial liabilities	680	275	0	0	0
Equity	1	3	0	0	0
Cash dividend	-587	-604	-684	-879	-931
Other cash flow	-647	-643	-1,210	-1,210	-1,210
Consolidation adj and other	105	41	1,209	917	1,271
Increase in cash & equivalents	**104**	**-222**	**-87**	**367**	**618**
Beginning cash & equivalents	1,032	1,136	914	826	1,193
Ending cash & equivalents	1,136	914	826	1,193	1,811
NOPLAT	1,189	1,344	**1,526**	**1,724**	**1,841**
FCF	**55**	**-57**	**523**	**1,295**	**1,365**

Valuation

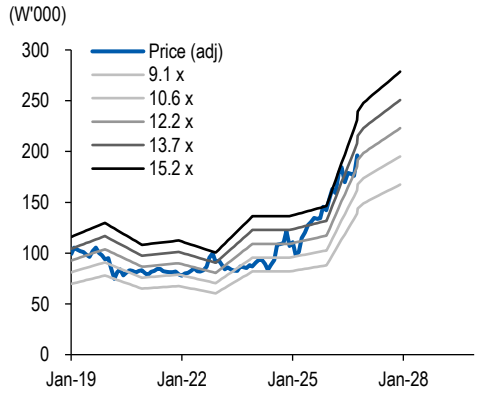
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	8,975	8,973	9,633	16,322	18,342
BPS (won)	85,662	89,409	93,422	101,595	111,027
EBITDA/shr (won)	11,079	13,470	16,912	19,559	20,740
SPS (won)	45,491	54,164	65,109	70,351	75,472
DPS (won)	5,400	6,000	8,000	8,500	9,500
P/E (x)	**10.9**	**13.9**	**20.2**	**11.9**	**10.6**
P/B (x)	**1.1**	**1.4**	**2.1**	**1.9**	**1.7**
EV/EBITDA (x)	**8.7**	**9.6**	**11.5**	**10.1**	**9.4**
P/S (x)	**2.2**	**2.3**	**3.0**	**2.8**	**2.6**

Key financial data

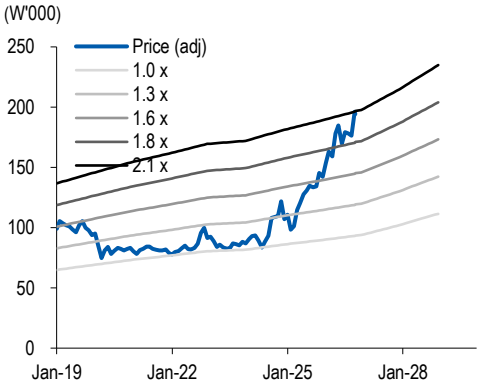
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.8**	**11.4**	**6.4**	**4.2**	**5.7**
Operating profit (%YoY)	**1.8**	**13.0**	**13.6**	**12.9**	**6.8**
Net profit, CI (%YoY)	**29.1**	**-6.5**	**-5.0**	**63.4**	**10.8**
Gross margin (%)	49.1	47.8	48.5	50.3	50.6
Operating margin (%)	**20.1**	**20.4**	**21.8**	**23.6**	**23.9**
Net margin, CI (%)	19.7	16.6	14.8	23.2	24.3
EBITDA margin (%)	24.4	24.9	26.0	27.8	27.5
ROIC (%)	18.1	17.4	17.5	20.3	22.1
ROA (%)	8.7	7.8	7.1	11.0	11.4
ROE (%)	**12.7**	**11.8**	**10.9**	**16.8**	**17.0**
Debt-to-equity (%)	48.8	52.0	51.6	48.7	46.2
Net debt-to-equity (%)	-3.8	5.9	6.4	2.3	-3.5
OP/financing cost (x)	28.2	18.1	18.9	21.4	22.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

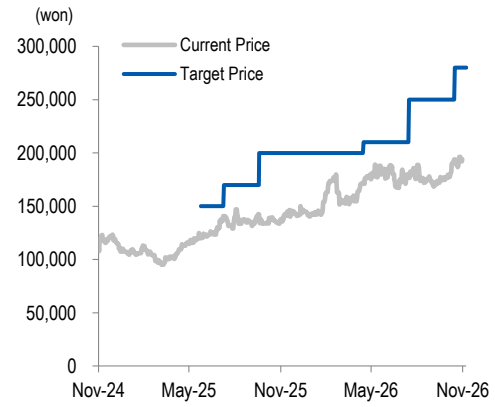
P/E band chart



P/B band chart



KT&G (033780 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/06	BUY	280,000	1 yr		
2026/10/21	BUY	280,000	1 yr		
2026/07/21	BUY	250,000	1 yr	-29.02	-22.40
2026/04/21	BUY	210,000	1 yr	-15.03	-10.00
2025/09/24	BUY	200,000	1 yr	-25.42	-10.15
2025/07/15	BUY	170,000	1 yr	-19.84	-13.41
2025/05/30	BUY	150,000	1 yr	-15.19	-6.20

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 06, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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